policies, generally described as inflation targeting. Inflation was tamed and monetary stability restored in much of the world through such policies as well as development and ageing, particularly in advanced countries.

The Government of India and RBI formally adopted the inflation-targeting regime in 2015. The Preamble of the RBI Act was further amended/expanded to explicitly and unequivocally state ‘AND WHEREAS the primary objective of the monetary policy is to maintain price stability while keeping in mind the objective of growth’.

Maintaining monetary stability is the first responsibility of RBI.

Exchange Rate Stability is an Extension of Monetary Stability

The Indian economy is intricately linked and integrated with the rest of the world. Exports and imports of goods and services together comprise about 40 per cent of GDP. These imports and exports, though produced and consumed in Indian currencies, are paid for and settled in international currencies. This leads to exchange of Indian currency with foreign currencies.

It is not trade alone that requires to be settled in terms of external currencies. India imports a lot of capital, both in the form of direct foreign investments and portfolio investments. India makes some direct foreign investments as well. Capital flows tend to be bulky and volatile, especially portfolio inflows. To the extent that capital inflows are offset by the deficit in the current account (goods and services), capital flows help meet demand and supply of foreign currencies. Excessive capital flows put excessive pressure on the external value of the rupee.

There are quite a few other important items related to receipts and payments of foreign currencies. Indian workers work abroad. There is a large Indian diaspora settled abroad. These people transfer a considerable amount of foreign currencies to India.